Queen Mary University of London

ECOM194 - FinTech

Fintech Opportunity Highlight

HSBC GloboPay

Focus

Real-Time Cross-Border Payment System

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Overview

The advent of FinTech has challenged numerous incumbent financial institutions and forced them to adopt new strategic options. Among all other challenges in this era of globalisation, transactions in foreign currencies are deemed the most complex, expensive and unavoidable option in terms of money and processing time.

Following this, in **May 2021**, focusing on the demands of the **SME** consumer segments, **HSBC** introduced the first multi-currency **HSBC Global Wallet**, which can receive, pay, hold and transfer between different currencies. Introducing and expanding this resolved a few of the prominent issues of SMEs in their international business transactions, such as currency fluctuations, speed of payments, and trustworthiness, as it enabled businesses to make transactions 'like a local' using local real-time payment networks (Harrison, 2021).

Additionally, according to the Global Payments Report of McKinsey in 2023, a steadily growing trend of **cross-border** C2B and C2C transactions is observed as the transaction flow increased in 2022 by 13% compared to last year (McKinsey & Company, 2023). Responding to the demands, **HSBC** has also acknowledged this by introducing the **HSBC Global Money Account** in October 2022, which allows retail customers to convert foreign currencies and send, spend and receive money abroad with no additional fees (Michael, 2024).

However, a noticeable market gap still exists due to the relatively new and growing fintech industry despite the effort to adapt to increasing demands. To elaborate, retail and SMEs are looking for a technological solution that makes international transactions (online/contactless/physical) seamless and makes every financial transaction more secure and less complicated.

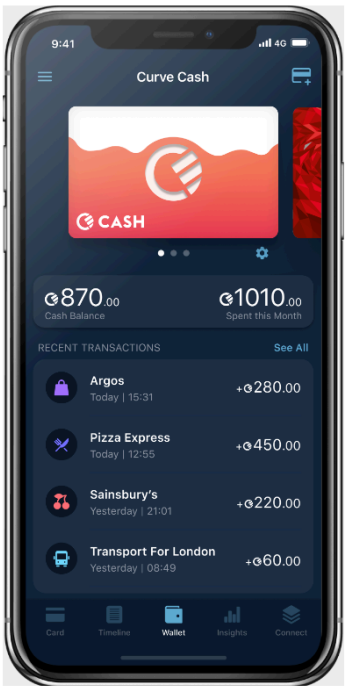
Hence, to mitigate this issue and bridge this disparity, **HSBC,** with its enormous banking network, is advised to invest in the **Cross-Border Payment System** aspect of fintech by introducing a **Dynamic Digital Wallet** called **HSBC GloboPay** in partnership with the Fintech company **Curve**. Also, leveraging this strategic partnership and integrating an innovative digital wallet with cross-border transaction capabilities, coupled with **HSBC's** esteemed reputation, is expected to yield promising results and work as a differentiating factor in the market.

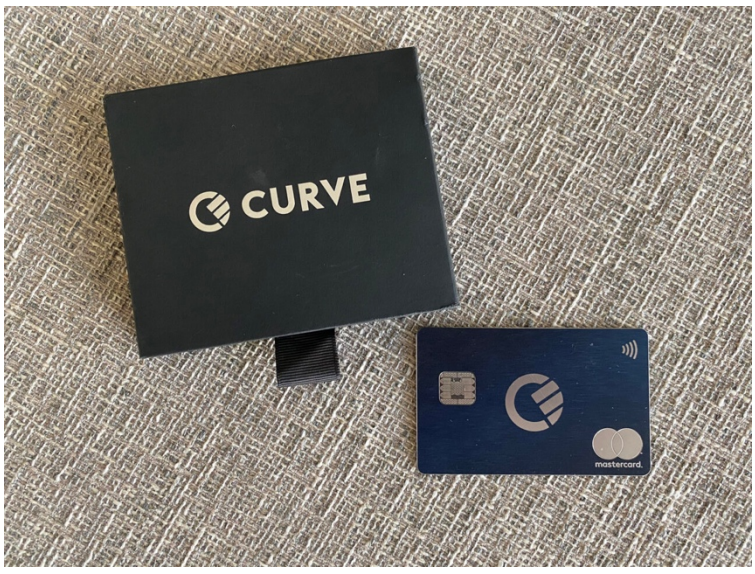
Product & Features

Curve

Established in 2021, it has experienced substantial growth as a fintech app, serving over 2 million clientele across the UK, USA, and EEA regions (*Curve Raised Investment - May 2021.,* 2023). Also, it is positioned as a financial super-app with the mission of revolutionising the finance landscape by simplifying and making more partnerships and collaborations with famous companies and digital wallets such as PayPal while facilitating customers with distinctive features such as consolidating multiple bank accounts and cards into one, leveraging wearable and contactless features, convenient foreign transactions and many more (European Business Magazine, 2023).

Among all its partners, **Curve's** pact with **Nuvei** is pivotal as **Nuvei** facilitates the acquisition of cards and Alternative Payment Methods (APMs), Maximized Global Reach and Payment Acceptance with Minimal operating Costs, Real-Time Monitoring along with a compliance system to meet industry standards and regulations (The Paypers, 2009). Additionally, significant collaborations involve partnerships with PayPal, Google Pay, Samsung Pay, Apple Pay, Master Card, Visa, American Express, Union Pay, et cetera.





Furthermore, with its **Flex credit** and **Flex Debit Card** options, **Curve** promotes its uniqueness through certain features, like "**Go Back in Time**" – facilitates payment switch from one card to another, "**Travel with Curve**" – facilitates foreign transactions without fees, "**Anti-Embarrassment**" – facilitates user an active backup card in case of failed/denied payment request, "**Get Rewards**"- Offers extra cashback from specific brands, et cetera.

However, due to its relatively new presence and less exposure in the market, **Curve** comparatively lacks resources to ensure customer satisfaction, global and local market presence, brand reputation and trustworthiness from its consumers, where **HSBC** can play a significant role with its resources, strong market and brand position along with global presence through partnership.

HSBC GloboPay

Considering the expected partnership benefits with **Curve,** the existing strategic opportunity to invest in the **Cross-Border Payment System** can be achieved by introducing a **Dynamic Digital Wallet** called **HSBC GloboPay** along with its **HSBC GloboPay Debit Card,** which is similar to the **Flex Card.** Having this will address the demand for:

- A single multifunctional card that alleviates the necessity of carrying multiple cards
- a medium of cross-border transaction with enhanced features and higher flexibility
- a digital wallet with enhanced facilities, security, network and physical presence

To elaborate, **HSBC GloboPay** will ensure a seamless cross-border payment system through the **HSBC GloboPay App** and **Card** along with the latest and technologically sophisticated features, such as the integration of popular digital wallets, as well as transactions through fashionable and wearable products like rings and bracelets with numerous other features in partnership with **Curve**, which will have the reliability and security of a traditional bank and flexibility, as well as the efficiency of the fintech-based service providers.



As one of its **features**, instead of carrying multiple cards, one **HSBC**-issued **Dynamic GloboPay Virtual/Physical Card** would sufficiently facilitate domestic/international transactions by deducting money from customers' previously authorised primary debit card and, if failed/denied, then from the Backup Debit Card. These debit cards include existing **HSBC** and **NON-HSBC** cards and any card integrated with connected digital wallets such as PayPal, Apple Pay, Google Pay, et cetera.

Following that, using the **GloboPay** app and integrated card**,** customers will enjoy the following **unique features**:

1. **Live Exchange Rates & No Prior Conversion:** Unlike **HSBC's** currently offered **Global Wallet & Global Money Account**, this digital wallet **GloboPay,** in collaboration with **Curve's** existing feature "**Travel with Curve**", would allow its users, regardless of their type(retail/SME), to make transactions in any currency without the need for prior currency conversion and not getting restricted to spend only the already converted amount. In addition, any international transaction requested by the consumer will be processed immediately by deducting the money from the consumer's nominated debit card in real time, allowing each transaction to be free from **transaction and conversion fees**.

   Example: A person called "Tim" can buy a machine from **Bangladesh (BD)** in **Bangladeshi Taka (BDT)** without worrying about converted currency balance as the equivalent amount of **Great British Pound (GBP)** will be **instantly** deducted from his previously selected debit card based on the real-time exchange rate**,** ensuring users the most accurate and fair conversion rates without the hassle of manual currency conversion.



2. **Flexibility and Responsiveness:** Maximising the flexibility for customers and demonstrating the thoughtful features of **GloboPay, HSBC** will integrate **Curve's** features such as "**Go Back in Time**" and **"Anti-Embarrassment",** which will allow users to switch their card flexibly and, if a payment gets denied, make payment through the backup card. Additionally, payments made in any foreign currency will be cleared locally, reducing processing time and relevant risks (e.g., exchange rate fluctuation).

   Example: When 'Tim" paid for the machine, the seller would instantly receive money locally in BDT from **HSBC** without waiting for currency conversion, multiple account transfers, or a delayed banking process.

3. **Enhanced Technological Implementation**: **GloboPay** would use and utilise the following features:

   a. **Payment Tokenization & Self-destruction**: Tokenisation technology will generate a unique token, which will be transmitted to the merchant instead of card details. Also, to ensure advanced data security, the user will have the flexibility to create/recreate a self-destructing virtual debit card, and additionally, the physical debit card will not have any card info on it other than the identification chip.



Source: Design Inspired by New CHASE Debit Card

b. **Backend Infrastructure & Mobile App Integration: GloboPay**'s backend infrastructure shall involve separate secure servers and databases dedicated to the management of user accounts, transactions, and card information, constantly communicating with main **HSBC's** servers, database and network through a secured API to facilitate data verification and processing. Simultaneously, users will communicate with the **GloboPay** separate servers and database via a secured API through the **HSBC GloboPay app**.



c. **AI, Machine Learning & Data Analytics:** While leveraging Artificial Intelligence (AI) and Machine Learning (ML) robustness, **GloboPay** would ensure strong identity protection and transaction monitoring services by analysing patterns and behaviours across **HSBC's** vast customer base.

   Also, in case of a potential threat, **AI** and self-learning **ML algorithms** would be able to detect anomalies, and the system would provide users with real-time protection by triggering automated alerts.



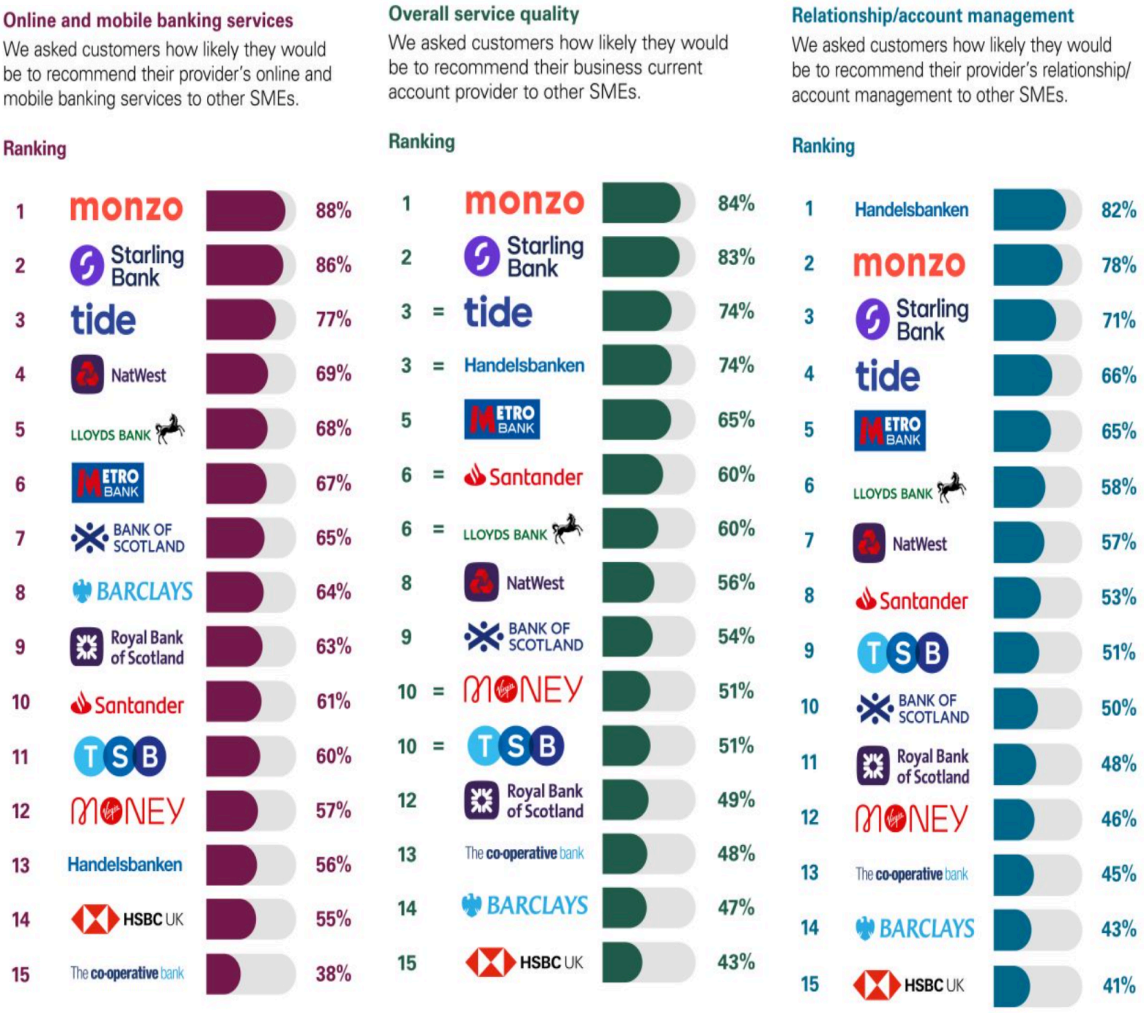
4. **Convenience and Rewards**: To ensure maximum customer convenience, **GloboPay** would offer a simple yet intuitive interface along with a variable rate of cashback offer, enhancing and improving the currently provided feature of **Curve** - "**Get Rewards**" for using the **GloboPay** app and **HSBC** debit card. Also, using advanced **progressive AI,** 24/7 customer support can be provided while ensuring human interaction is available in complex situations.

Considering all these features, **HSBC GloboPay** would make **HSBC** a unique competitor that offers the best banking and the fintech industry while establishing, developing and reinforcing **HSBC's** existing operation and boosting **Curve's** market exposure.

Market & Competitor Analysis

HSBC GloboPay may encounter competition from fintech and traditional banks. However, due to the anticipated growth in cross-border transactions, advantages stemming from the partnership with **Curve**, and **HSBC's** established brand reputation in the market, investment in **GloboPay** appears promising.

To begin with, a survey report suggests that the leading fintech competitors such as **Monzo**, **Starling** and **Tide** offer superior overall service to their retail and SME customers, and their existing customers are pretty happy with their service. Following that, traditional banks such as **NatWest**, **Lloyds**, and **Metro** are also leading this list (BVA BDRC, 2024).



Source: Bank Service Ratings (BVA BDRC, 2024)

These fintech competitors, renowned for their interactive designs and captivating features like Monzo's Saving Pot and Budget Analysis Tool, often require monthly subscriptions and these apps are mainly preferred for day-to-day transactions as users need more trustworthiness for more significant transactions.

Contrarily, competing traditional banks offer prompt customer service, lucrative savings schemes, and reward programs via simple web and mobile apps. Despite fintech's appeal, high street banks are deemed more reliable due to physical branches and established reputation. However, they still need sophisticated and fascinating features similar to Fintech-based competitors, but regulatory constraints result in slower progression (Beare, 2023).



However, cross-border transactions are expected to grow by 25-30% CAGR through the next decade (Bignell, 2024). Not only that, The Centre for Migration Control (**CMC**) reported a surge in international students studying at UK universities in 2022/2023, reflecting global immigration growth and growing demand for convenient cross-border transaction facilities (Edginton et al., 2023).

However, these existing competitors still need more cost-effectiveness and efficiency to ensure the real-time cross-border transaction facility that **HSBC** can offer with **Curve** through its vast network and existing investment portfolio.

SWOT Analysis

Examining **HSBC's GloboPay** and a SWOT analysis to understand its potential in the area of digital wallet and fintech landscape is given below:

Strength(S)	Opportunity(O)
• Brand Reputation & Physical Presence • Existing Facility & Enhanced Diversification • Product Differentiation	• Growing Demand for Digital Wallets • Cross-Border Transactions • Advanced Technology
Weakness(W)	**Threat(T)**
• Customer Experience • Implementation Complexity	• Entry Barrier • Regulatory Challenges • Market Volatility

Strength(S)

- **Brand Reputation & Physical Presence:** Worldwide, HSBC serves around 42 million customers through a network that covers 62 countries and territories (HSBC, 2024). Also, it was ranked 20th out of 2000 in the Global 2000 ranking (Forbes, 2023).
- **Existing Facility & Enhanced Diversification:** The introduction of **GloboPay** enhances **HSBC**'s diverse portfolio and adds additional value to its existing services, such as Global Money Account and Global Wallet.
- **Product Differentiation: HSBC GloboPay** offers a combination of digital wallet and cross-border transaction facility, along with the well-built reputation of HSBC, which is expected to give a competitive advantage and work as a differentiating factor in the market.

Weakness(W)

- **Customer Experience:** Gaining customers' trust in its digital services might become problematic as current reviews from Trustpilot suggest that HSBC's digital services, including its Global Money Account, have not always met customer expectations (Trustpilot, n.d.).

- **Implementation Complexity:** To offer payment of foreign currency locally, managing and maintaining foreign sources might become complex due to changes in regulations and laws.

Opportunity(O)

- **Growing Demand for Digital Wallets:** From 2021 to 2028, the global digital wallet market is expected to grow at a **CAGR** of 20.37% (KSI, 2023). Also, by 2025, 52.5% of e-commerce payments are expected to be made through digital wallets (Visa, 2023).
- **Cross-Border Transactions:** Cross-Border Transactions are expected to grow substantially. Supporting this, James Cope, **Crown Agents Bank**'s head of product management, anticipates a 25-30% CAGR growth in cross-border payments by 2024, driven by increasing global workforce mobility and market exploration. (Bignell, 2024).
- **Advanced Technology: GloboPay** and its proposed features in collaboration with **Curve**, such as real-time exchange rates, biometric authentication, Wearable Devices, any Card Integration Service and AI-enhanced security, would demonstrate HSBC's commitment to leveraging cutting-edge technology and reflect its capability to adapt to technological advancements.

Threat(T)

- **Entry Barrier:** Due to high competition, **HSBC GloboPay** might face semi-strong entry barriers from existing competitors such as Monzo, Starling, Lloyds Bank, et cetera, along with **cybersecurity** and data-protection-related risks.
- **Regulatory Challenges:** GloboPay will need to navigate a complex regulatory landscape, which can impact its operations and growth due to being a part of a highly regulated system.
- **Market Volatility:** Due to the ongoing escalating tension with the West, **HSBC GloboPay** might experience higher volatility in respective markets (Choudhury et al., 2023).

Strategic Implementation

Based on the overall product, market and competitor analysis while simultaneously considering internal and external factors, it is recommended that as a part of an incumbent financial institution (**HSBC**), the board shall consider introducing "**HSBC GloboPay**" in partnership with financial super-app **Curve** by investing in "**Cross-Border Payment System**".

To successfully and strategically implement and introduce, the following areas suggested to be considered cautiously:

1. **Demographic Focus:** Inherently, cross-border transactions are more popular with international students and frequent international travellers. Hence, targeting this segment of international students from countries such as the UK, the US, and Canada, which would attract more international students, would be more beneficial.

   Based on the 2021 Census of the UK, one-third of the international student population was in London, and most international students come from these four countries: India, China, Romania, and Nigeria (11.6%, 11.2%, 9.5% and 5.3%, respectively) (Office for National Statistics UK, 2023).
2. **Product Development:** HSBC GloboPay shall stay within continual development by considering certain features such as Language Preferences, a simplistic UI design for user interface, card and bank account integration, et cetera.
3. **Partnerships and Alliances:** To ensure seamless real-time cross-border money transactions and to compete with existing competitors such as banks and digital wallet providers, building and utilising the partnership with Curve and its partners is recommended.
4. **Regulatory Compliance:** To ensure smooth operations and secure long-term growth in each market, ensuring compliance with all relevant regulations and standards governing cross-border payments, data protection, and financial transactions is equally vital as strictly following the guidelines from regulatory bodies such as The Financial Conduct Authority (FCA).

Conclusion

Considering the aforementioned analysis, it can be deduced that introducing "**HSBC GloboPay**" in collaboration with **Curve** and focusing the investment in the "**Cross-Border Payment System**" will not only digitalise the banking system but will also make cross-border transactions seamless by combining the best of fintech and banking services while opening numerous opportunities for individuals and businesses to impact the global economy positively.

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